



Failure of Startups in Algeria An Analytical Study of Internal and External Factors

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Abstract ;

Startup support constitutes a pivotal strategy for Algeria's economic diversification and innovation advancement. Despite multiple state-initiated reforms, startup failure rates remain persistently high, necessitating comprehensive examination of underlying causal factors. This research investigates internal and external determinants contributing to startup failures in Algeria through a descriptive-analytical methodology. The findings demonstrate that failures predominantly result from deficient managerial competencies, inadequate strategic planning, financing accessibility challenges, bureaucratic impediments, insufficient institutional support, and weak integration between scientific research systems and market demands. The study concludes by emphasizing the imperative for establishing a comprehensive entrepreneurial ecosystem that fosters organizational sustainability and growth through legislative reform, incubator development, and enhanced practical training programs for entrepreneurs.

Article info

*Received
September 24.2025
Accepted
November 24.2025*

Keyword:

- ✓ *Startups;*
- ✓ *business failure;*
- ✓ *entrepreneurship*
- ✓ *Algeria;*
- ✓ *financing*
- ✓ *incubators*

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1. Introduction

Algeria has strategically positioned entrepreneurship and startup development as fundamental pillars for economic diversification and innovation advancement. Recognizing the transformative potential of entrepreneurial ventures, the Algerian government has implemented comprehensive legislative and institutional reforms designed to cultivate a more conducive environment for business creation and growth. These policy interventions represent a deliberate shift toward establishing a knowledge-based economy where startups serve as primary catalysts for sustainable economic development and technological innovation.

The governmental support framework encompasses multiple dimensions of entrepreneurial facilitation, including the promulgation of specialized executive decrees, substantial fiscal incentives through tax exemptions and customs duty reductions, and enhanced institutional infrastructure via university-affiliated incubation centers and business acceleration programs. Additionally, the government has established specialized investment funds, comprehensive human capital development programs, and intellectual property support mechanisms to address the multifaceted needs of emerging enterprises.

Despite these extensive supportive interventions, entrepreneurial ventures in Algeria continue to encounter significant structural impediments that constrain their developmental trajectory and long-term viability. Administrative complexity, limited awareness of legal frameworks, persistent difficulties in accessing appropriate funding mechanisms, and insufficient integration between scientific research institutions and market demands represent persistent barriers to entrepreneurial success. Moreover, practical entrepreneurship education programs exhibit qualitative and quantitative deficiencies, failing to adequately prepare entrepreneurs for operational challenges.

Empirical evidence indicates persistently elevated failure rates among Algerian startups, particularly during early operational phases. This phenomenon raises fundamental questions regarding the efficacy of the current entrepreneurial support architecture and necessitates comprehensive empirical investigation into the determinants of startup success and failure. The current entrepreneurial landscape requires systematic analysis examining the dynamic interactions between legal-economic environmental factors, entrepreneurial educational frameworks, and institutional support structures to inform evidence-based policy formulations.

This study addresses the critical need for comprehensive research that can strengthen the contribution of the entrepreneurial sector to economic development indicators and social welfare metrics through the establishment of a more robust entrepreneurial ecosystem.

1.1 Problem Statement:

Notwithstanding the progressive evolution of governmental policies designed to foster entrepreneurial development, failure rates among Algerian startups persist at concerning levels. This phenomenon necessitates a comprehensive examination of the multifaceted and interconnected determinants contributing to venture failures, encompassing both internal factors (encompassing managerial competencies, knowledge assets, and organizational structures) and external variables (including environmental conditions, institutional frameworks, and financial accessibility constraints).

What are the internal and external determinants that account for the elevated failure rates of startup ventures in Algeria?

1.2. Secondary Research Questions:

- What constitutes the conceptual framework of startup enterprises and their distinctive characteristics within the Algerian entrepreneurial context?
- What are the principal internal factors pertaining to founder capabilities

and managerial practices that influence venture outcomes?

- What external constraints impede the sustainable growth and development of these entrepreneurial ventures?
- How do these multidimensional factors interact synergistically to generate an unsupportive entrepreneurial ecosystem?
- What empirical insights can be derived, and what evidence-based recommendations can be formulated to enhance the startup ecosystem's effectiveness?

1.3 .Research Hypotheses:

- H1: The failure of a substantial proportion of startup ventures is primarily attributable to deficient managerial competencies and inadequate strategic planning capabilities.
- H2: Regulatory complexity and bureaucratic impediments function as significant disincentives, constraining the potential for organizational sustainability and growth.
- H3: The absence of an effective innovation support infrastructure and comprehensive mentoring systems contributes substantially to the diminished survival rates of nascent ventures.

1.4. Significance and Contribution of the Study:

The scholarly significance of this research resides in its focused examination of a critical determinant of Algeria's future economic development trajectory. This investigation provides a comprehensive diagnostic framework that integrates both internal organizational dynamics and external environmental factors, with the objective of generating evidence-based recommendations to inform policy formulation and stakeholder decision-making processes. The study addresses a crucial gap in understanding the entrepreneurial ecosystem dynamics within the North African context, contributing to both theoretical knowledge and practical policy applications.

1.5. Research Objectives:

Theoretical Clarification: To establish and elucidate the conceptual and theoretical frameworks surrounding entrepreneurial venture development and failure mechanisms.

Causal Analysis: To systematically identify and analyze the underlying determinants responsible for startup venture failures within the Algerian context.

Factor Interaction Examination: To investigate the complex relationships and interactions between internal

organizational factors and external environmental influences.

Policy Recommendation Development: To formulate practical, evidence-based recommendations designed to enhance the success probability and sustainability of entrepreneurial ventures in Algeria.

1.6. Literature Review:

- Contemporary Research on Startup Failure Mechanisms: Bada, A.A. & Ben Ghalem, A.A. (2025) conducted a comprehensive exploratory analysis investigating the primary determinants of startup failure through post-closure founder testimonials. Employing a systematic analytical methodology, their research identified that the majority of startup failures manifest during initial operational phases due to interconnected factors including market-product misalignment, capital depletion and financing accessibility challenges, suboptimal team composition, intense competitive pressures, pricing strategy inadequacies, ineffective business model implementation, insufficient marketing and customer acquisition strategies, internal organizational conflicts, technological obsolescence, experiential deficiencies, strategic location disadvantages, regulatory compliance challenges, delayed or erroneous strategic pivoting, and insufficient entrepreneurial persistence. The authors advocate for comprehensive market research protocols, strategic team

selection processes, robust financial planning frameworks, prioritized marketing initiatives, and adaptive business model flexibility.

- International Benchmarking and Algerian Context Analysis: Lemamra, S. & Tbinat, W. (2021) conducted a comparative analysis of successful international startup paradigms while examining the Algerian entrepreneurial landscape. Their research emphasizes the pivotal role of startup ventures in stimulating economic development and employment generation. The study identified critical challenges including constrained financial capital accessibility, insufficient legislative support frameworks, limited domestic market scope, inadequate entrepreneurial experience and training infrastructure, and the absence of a comprehensive support ecosystem. Their findings reveal that Algerian startups demonstrate concentration in e-commerce sectors with a tendency toward foreign model replication rather than indigenous innovation development. Recommendations encompass business environment enhancement, flexible financing mechanism implementation, and strengthened training and mentorship program development.

2. Conceptual Framework:

2.1 Definition of Startup Ventures:

Startup ventures constitute nascent economic entities distinguished by their fundamental emphasis on innovation and organizational adaptability. These enterprises are primarily oriented toward the development of novel products or services designed to address unmet market demands or to provide superior solutions to existing market inefficiencies. A distinguishing characteristic of startup ventures is their implementation of scalable business models, which facilitate the accommodation of expanding customer bases without corresponding proportional increases in operational expenditures.

According to (Ries, 2011, p. 27), a startup defined as "a human institution designed to create a new product or service under conditions of extreme uncertainty". Startup ventures transcend traditional profit-maximization objectives, instead prioritizing rapid organizational growth trajectories, frequently facilitated through technological innovation and supported by venture capital investment mechanisms.

The fundamental characteristics of startup ventures encompass: (Blank & Dorf, 2012, p. 5)

- Pronounced orientation toward innovation and digital transformation initiatives.
- Implementation of adaptive and flexible business model frameworks

- Strategic focus on scalable market segments with targeted customer acquisition strategies.
- Operational deployment within volatile, high-risk market environments.

2.2 Entrepreneurship: Theoretical Foundations:

Entrepreneurship represents the systematic process of transforming innovative conceptualizations into economically viable business ventures. This phenomenon encompasses considerations beyond mere business establishment, incorporating the cognitive capacity to identify market opportunities, mobilize necessary resources, engage in calculated risk assessment, and generate transformative change within the operational environment.

Conceptualizes entrepreneurship as "the practice of converting change into an opportunity for a business or a service" (Drucker, 1985, p. 22). This theoretical framework emphasizes that entrepreneurial activity extends beyond technological innovation to encompass visionary strategic thinking and optimal resource allocation methodologies.

Entrepreneurship contributes significantly to socio-economic development through multiple mechanisms: (Shane, 2003, p. 5)

- Employment generation and job creation initiatives

- Productivity enhancement and operational efficiency improvements
- Technology transfer and knowledge diffusion processes.
- Economic diversification and sectoral development strategies.

2.3 Characteristics of Startup Ventures in the Algerian Context:

The Algerian startup ecosystem remains in nascent developmental phases, with formal recognition established through legislative frameworks implemented in 2020. Executive Decree No. 20-254 delineated the regulatory criteria for enterprise classification as startup ventures within the national context.

Distinctive characteristics of Algerian startup ventures include (Ministry of Knowledge Economy and Startups, 2022, p. 17):

- Recent institutional emergence from both organizational development and legislative recognition perspectives
- Technological solution dependency, encompassing digital service platforms, electronic commerce applications, and intelligent software systems.
- Managerial and administrative capacity deficiencies, particularly within strategic planning, marketing

implementation, and human resource management domains

- Constrained financing accessibility, despite the establishment of support mechanisms including the national Startup Fund initiated in 2020
- Educational-market alignment discontinuity, characterized by university-educated entrepreneurs demonstrating insufficient market experience and practical competency development.

2.4. The Algerian Entrepreneurial Ecosystem: Structural Analysis:

Algeria's entrepreneurial environment encounters multiple structural impediments that constrain venture development and sustainability:

Financial Infrastructure Limitations: The ecosystem demonstrates restricted access to conventional banking financing and venture capital investment, as financial institutions maintain conservative approaches toward innovative venture funding. This constraint significantly limits the availability of growth capital for emerging enterprises.

Educational-Market Integration Deficiencies: Substantial disconnections exist between higher education institutional curricula and labor market requirements, resulting in graduate skill sets that frequently misalign with market

demand specifications and practical implementation needs.

Incubation and Acceleration Infrastructure Inadequacies: The ecosystem suffers from insufficient integrated and specialized incubation facilities, coupled with limited mentoring program availability and business acceleration support services.

Regulatory and Administrative Complexity: Entrepreneurs encounter significant bureaucratic obstacles, including complex commercial registration procedures, burdensome taxation processes, and fragmented regulatory framework implementation.

According to the Global Entrepreneurship (Global Entrepreneurship Monitor (GEM), 2022, p. 44), Algeria demonstrated poor performance across indicators measuring ease of business establishment" and "governmental support for entrepreneurial initiatives. The assessment highlighted the fragmented nature of the entrepreneurial ecosystem and underdeveloped innovation infrastructure.

Despite governmental intervention efforts, including:

- Establishment of the Delegate Ministry for Knowledge Economy and Startups
- Creation of dedicated national Startup Fund mechanisms

- Implementation of national competitive initiatives such as the Algeria Startup Challenge

The entrepreneurial ecosystem continues to exhibit fragmentation characteristics and coordination deficiencies among critical stakeholders, including academic institutions, incubation facilities, financial institutions, and regulatory authorities

3. Internal Determinants of Startup Venture Failure in Algeria:

Internal determinants constitute critical elements that directly influence the sustainability and viability of startup ventures within the Algerian entrepreneurial ecosystem. These factors encompass entrepreneur-specific characteristics, team dynamics, and internal management mechanisms that govern organizational operations from the venture's inception through its developmental trajectory.

3.1. Educational and Training Deficiencies:

One of the most significant challenges confronting Algerian entrepreneurs is the inadequate academic preparation and practical competency development in fundamental business management domains, particularly in business model design, marketing strategy formulation, financial planning methodologies, and comprehensive market analysis techniques.

This knowledge deficit substantially compromises daily operational decision-making processes and diminishes organizational adaptability to dynamic market conditions.

(Ben Bouzid, 2021, p. 49) Identifies that the majority of entrepreneurial candidates in Algeria demonstrate limited formal entrepreneurship education, instead relying upon autodidactic learning approaches or unstructured educational content. This educational inadequacy creates a substantial "implementation gap" between entrepreneurial aspirations and operational reality, frequently resulting in early-stage venture failure.

Empirical research conducted on a sample of 30 Algerian startup ventures revealed that over 65% of founding entrepreneurs had not received specialized training in business management or entrepreneurship methodologies (Ben Bouzid, 2021, p. 50). This finding underscores the systemic nature of educational preparation deficiencies within the Algerian entrepreneurial population.

3.2. Leadership Competency and Communication Deficits:

Leadership capability represents a fundamental determinant in directing startup ventures toward either sustainable success or organizational failure. The founding entrepreneur serves as the primary catalyst for the entrepreneurial

process and must demonstrate clear strategic vision, effective communication competencies, and the capacity to motivate team members while fostering organizational trust and cohesion.

(Kuratko, 2016, p. 133) Emphasizes that leadership skill deficiencies generate unstable team environments characterized by operational chaos and inadequate coordination mechanisms. This organizational instability increases employee turnover rates and impedes effective task execution. Furthermore, startup ventures whose founders lack adaptive leadership characteristics frequently encounter significant challenges in decision-making processes, time management systems, and crisis resolution protocols.

Within the Algerian entrepreneurial context, many entrepreneurs demonstrate confusion between effective leadership and authoritarian control mechanisms, which negatively impacts internal work environments and diminishes team capacity to navigate critical operational periods (Khadimi, 2022, p. 61). This leadership approach constrains organizational flexibility and reduces collective problem-solving effectiveness.

3.3. Strategic Planning Framework Absence:

The absence of comprehensive strategic planning represents a key contributory

factor to startup venture failure within Algeria. Many Algerian startup ventures are initiated without rigorous feasibility assessments or clearly articulated strategic vision frameworks, with decisions frequently characterized by impulsive or improvisational approaches rather than systematic analysis.

According to (Belkacem, 2020, p. 78), 72% of startup ventures that fail within their initial operational year had not developed comprehensive business plans and lacked clearly defined Key Performance Indicators (KPIs) for progress assessment and corrective action guidance. This strategic planning deficiency undermines organizational effectiveness and long-term sustainability prospects.

The absence of strategic planning typically manifests in several operational deficiencies:

- **Objective Ambiguity:** Conflicting or insufficiently defined organizational objectives that impede focused execution
- **Resource Misallocation:** Inefficient deployment of financial and human capital resources due to inadequate strategic direction
- **Market Adaptation Limitations:** Reduced capacity to respond effectively to market developments or competitive pressures

3.4. Financial Management Inadequacies

Algerian startup ventures frequently demonstrate significant financial literacy deficiencies, with financial management not receiving appropriate prioritization within daily operational activities. Common financial management errors include:

- Account Segregation Failures: Inadequate separation between personal and business financial accounts
- Budget Planning Deficiencies: Absence of regularly updated budgetary frameworks and financial projections
- Performance Indicator Ignorance: Limited understanding of fundamental financial performance metrics, including liquidity ratios, profitability measures, and return on investment calculations

(Robehmed, 2024) Identifies inadequate financial management, stemming from insufficient accounting and financial expertise, as a primary global determinant of startup venture failure. Such deficiencies result in uncontrolled expenditure patterns and inefficient resource management practices.

Within the domestic context, (Ministry of Knowledge Economy and Startups, 2022, p. 19) reported that the majority of Algerian startup ventures do not implement professional financial management tools, such as forecasting accounting systems or cash flow analysis methodologies, instead

relying upon personal estimations or manual bookkeeping procedures. This finding indicates a systematic underutilization of available financial management technologies and methodologies.

4. External Determinants Contributing to Startup Venture Failure in Algeria:

Startup ventures in Algeria encounter a comprehensive array of external impediments that substantially constrain their developmental trajectory and long-term sustainability. These challenges are predominantly institutional, environmental, and regulatory in nature, representing systemic factors that operate largely beyond entrepreneurial control and influence. The external determinants can be systematically categorized into four primary domains of constraint.

4.1. Financial Capital Accessibility and Support Mechanism Deficiencies:

Notwithstanding the establishment of the National Startup Fund in 2020, Algerian entrepreneurs continue to encounter substantial obstacles in securing seed capital and scale-up financing. This persistent challenge emanates from multiple interconnected structural factors that characterize the domestic financial ecosystem.

The requirement for collateral assets to obtain conventional loan financing

constitutes a fundamental barrier, particularly affecting young entrepreneurs who lack substantial tangible asset portfolios. The inherently elevated risk profiles associated with startup ventures compel traditional banking institutions to implement delayed approval processes or implement outright rejection policies for funding applications, especially within an environment characterized by underdeveloped venture capital culture and risk assessment frameworks.

The investment ecosystem demonstrates significant underdevelopment, with constrained participation from private investment entities including business angel networks and venture capital funds. (Belaïd & Mourad, 2022, p. 114) Emphasize, "The Algerian banking sector remains traditional in its approach to financing, prioritizing guarantees over economic feasibility or innovation". This conservative institutional approach fundamentally misaligns with the financing requirements of innovative startup ventures.

Empirical evidence from the Global Entrepreneurship Monitor (GEM), 2022, p. 44) demonstrates that 65% of Algerian entrepreneurs identify financial accessibility as the primary barrier to business establishment, compared to a global average of 35%. This substantial differential indicates a pronounced

structural gap within the domestic entrepreneurial support environment and underscores the systemic nature of financing constraints facing Algerian startup ventures.

4.2. Administrative and Regulatory Bureaucracy:

Complex administrative procedures continue to constitute significant impediments to both startup establishment and organizational expansion within Algeria. The bureaucratic constraint framework encompasses multiple dimensions of regulatory complexity that systematically disadvantage emerging ventures.

Commercial registration processes demonstrate persistent delays, particularly affecting digital activity ventures that require specialized regulatory approvals and licensing procedures. The involvement of multiple supervisory entities, including the Ministry of Startups, Ministry of Industry, Ministry of Trade, and various taxation authorities, generates duplicated documentation requirements and conflicting regulatory interpretations that complicate compliance processes.

Customs-related obstacles significantly impede the importation of essential technological equipment and software systems, primarily due to the absence of innovation-specific customs classification codes and prolonged file processing

procedures. These impediments particularly affect technology-intensive startup ventures that require specialized equipment and software infrastructure for operational effectiveness.

(Mziyan & Bouksani, 2018, p. 382) Observe "the lack of coordination between institutions responsible for startup support results in a suffocating bureaucratic loop that hinders business formation and prolongs the startup phase". This institutional fragmentation creates systematic inefficiencies that disproportionately burden resource-constrained startup ventures and extends time-to-market intervals.

4.3. Incubation Infrastructure and Support Structure Inadequacies:

Despite multiple governmental initiatives designed to establish university-affiliated incubators and entrepreneurial support centers, these institutional structures demonstrate significant operational deficiencies that limit their effectiveness in fostering startup development and sustainability.

Geographic concentration of incubation facilities within major urban centers, specifically Algiers, Oran, and Constantine, creates substantial accessibility barriers for entrepreneurs located in interior and rural regions. This concentration pattern generates inequitable access to entrepreneurial support services

and constrains the geographic distribution of startup activity throughout the national territory.

Post-establishment support mechanisms demonstrate significant limitations, with many incubation facilities providing assistance exclusively during initial ideation phases while failing to deliver continued mentoring, coaching, or networking services throughout critical developmental stages. This support discontinuity particularly affects ventures during transition phases from concept development to market implementation.

Integration deficiencies between university-affiliated incubators and the broader economic ecosystem render these facilities operationally isolated from market mechanisms and financing institutions. (Belkacem, 2020, p. 80) Indicates, "University incubators in Algeria operate in isolation from their economic environment and often lack the specialized competencies or effective evaluation tools needed for sustained support". This isolation constrains the effectiveness of incubation services and limits startup access to essential market intelligence and financing networks.

4.4. Market Validation Infrastructure Absence:

A critical challenge confronting Algerian startup ventures involves the substantial difficulty in accessing appropriate test

markets for product and service validation, which fundamentally impedes iterative development processes, based on consumer feedback and market response mechanisms.

The absence of robust linkages between startup ventures and large industrial corporations significantly constrains the development of synergistic partnership projects and limits access to corporate customer bases for product testing and validation purposes. This disconnection reduces opportunities for startup ventures to demonstrate proof-of-concept within real market environments.

Domestic demand for digital and technological solutions remains constrained due to multiple cultural, technical, and economic barriers that limit market receptivity to innovative products and services. These demand-side constraints particularly affect technology-intensive startup ventures that require substantial market adoption for achieving operational sustainability.

Public procurement policies demonstrate insufficient integration of startup ventures as primary service suppliers, contrasting unfavorably with international best practices implemented in countries such as France and Canada, where governmental entities actively purchase services from startup ventures to accelerate market integration and validation processes.

(Global Entrepreneurship Monitor (GEM), 2022, p. 45) Emphasizes the absence of a comprehensive national strategy in Algeria that recognizes startup ventures as contributors to public sector innovation initiatives. This strategic gap constrains opportunities for startup ventures to access public sector markets and limits their capacity to demonstrate commercial viability within supportive institutional environments.

5. Empirical Analysis of Startup Venture Failure Determinants in Algeria:

5.1. Startup Venture Failure Rates: Statistical Evidence:

Official statistical data from the National Agency for Entrepreneurship Support and Development (ANADE) demonstrate that more than 70% of newly established startup ventures in Algeria cease operations within the initial five-year operational period. An internal assessment conducted by the Ministry of Startups in 2023 provided the following comprehensive statistical analysis:

Table (1): Rate of Startup Business

Closures in Algeria

Number of Startups Established	Number Inactive/Discontinued	Failure Rate(%)
1.500	1.070	%71.3

The source: Ministry of Knowledge Economy and Startups, 2023.

These empirical findings reveal substantial organizational fragility within the sustainability framework of Algerian startup ventures. This pronounced vulnerability emanates from a complex interaction between internal organizational factors, including deficient managerial competencies, and external systemic constraints, particularly the underdeveloped entrepreneurial ecosystem infrastructure. The statistical evidence indicates a systematic failure pattern that transcends individual venture characteristics and suggests broader structural inadequacies within the national entrepreneurial support framework.

5.2. Primary Failure Determinants: Empirical Survey Findings:

A comprehensive field survey conducted in 2022 across five representative provinces (Algiers, Oran, Sétif, Constantine, and Ouargla) encompassing a stratified sample of 200 startup ventures identified the following principal failure determinants:

Table (2): Primary Determinants of Startup Venture Failu

Cause of Failure	Percentage of
Entrepreneurship training	%38
Financing accessibility	%34
Administrative	%27
Market research and	%22
Post-establishment	%19
Legal and taxation	%13

The source: Field Study, National Statistics Institute in collaboration with University of Algiers 3, 2022, p. 21.

The survey data demonstrate a fundamental duality in startup venture failure causation mechanisms. Internal organizational deficiencies, encompassing insufficient entrepreneurial training and inadequate strategic business planning methodologies, intersect systematically with institutional and economic challenges, particularly constrained financial capital accessibility and excessive bureaucratic regulatory frameworks. This empirical

evidence underscores the multidimensional complexity inherent in the startup failure phenomenon within the Algerian context.

The predominance of training deficiencies (38%) as the primary failure determinant indicates substantial gaps in entrepreneurial education infrastructure and competency development programs. The significance of financing accessibility constraints (34%) reflects structural inadequacies within the national financial ecosystem's capacity to support innovative venture development.

5.3. Sectoral Distribution Analysis and Failure Rate Variations:

According to ANADE 2021 statistical assessments, the sectoral distribution of startup venture failures demonstrates significant variation across economic sectors:

Table (3): Sectoral Distribution of Startup Projects and Associated Failure Rates Industry-Specific Performance Analysis

Sector	Number of Projects	Failure Rate (%)
Services (delivery, Light	4,200	%75
Agricultural sector	2,600	%60
Electronic	1,900	%55
	1,200	%82

The source: ANADE, Annual Report, 2021, p. 45.

Startup ventures operating within digital technology and contemporary service sectors anticipated to constitute the foundation of Algeria's "knowledge-based economy" transformation demonstrate the highest failure rates. This paradoxical outcome indicates a fundamental misalignment between national strategic economic objectives for digital economy development and the institutional readiness of regulatory and infrastructural environments to effectively support such innovative ventures.

The elevated failure rate in electronic commerce (82%) particularly highlights the challenges associated with digital economy integration within the existing institutional framework. Conversely, the relatively lower failure rate in agricultural sector ventures (55%) suggests greater alignment between traditional economic activities and existing support infrastructure capabilities.

5.4. International Comparative Analysis: Regional Benchmarking:

Comparative analysis with regional economies demonstrates Algeria's relative underperformance in entrepreneurial facilitation metrics:

Table 4. International Comparative Analysis of Business Establishment Indicators Regional Benchmarking of Entrepreneurial Facilitation Metrics

Country	Ease of Starting Business (DB2020 Rank)	Registration Duration (Days)	Required Procedures
Algeria	152	20	12
Tunisia	33	11	4
Morocco	53	9	5
UAE	17	4	2

The source: World Bank, Doing Business Report, 2020.

Algeria demonstrates significantly inferior performance relative to regional comparators across all measured dimensions of business establishment facilitation. The requirement for 20 days and 12 distinct procedural steps for business registration substantially exceeds regional benchmarks, with Tunisia requiring only 11 days and 4 procedures. This regulatory inefficiency constitutes a substantial deterrent for prospective young entrepreneurs and potential investment capital, creating systematic competitive disadvantages within the regional entrepreneurial landscape.

5.5. Synthesis and Policy Implications:

The empirical analysis, grounded in robust quantitative data, underscores the

multifaceted and interrelated causes underlying the high failure rates of startup ventures in Algeria. The findings highlight several key determinants:

- **Internal Organizational Deficiencies:** The lack of adequate entrepreneurial training and insufficient strategic planning among founders are primary constraints on the sustainability of startups. These shortcomings reflect broader systemic weaknesses in the entrepreneurial education and skills development infrastructure.
- **Institutional Environmental Constraints:** The regulatory and business environment demonstrates insufficient adaptation to support entrepreneurial venture growth and sustainability. Administrative bureaucracy and complex procedural requirements create systematic barriers to venture establishment and operational effectiveness.
- **Financial Ecosystem Inadequacies:** Constrained access to appropriate financing mechanisms and inadequate post-establishment support infrastructure represent structural impediments to venture development and scaling capabilities.
- **Sectoral Misalignment:** The elevated failure rates within digital economy sectors indicate fundamental misalignment between national strategic objectives and institutional capacity to support innovative venture development.

6. Conclusion:

The comprehensive analytical examination, substantiated by quantitative empirical data and comparative benchmarking indicators, demonstrates that startup ventures within Algeria encounter a complex constellation of multidimensional challenges. These impediments emanate from the convergence of internal organizational deficiencies encompassing inadequate entrepreneurial competency development, strategic planning framework deficiencies, and governance structure inadequacies—and systemic external factors intrinsic to the business environment, including bureaucratic inefficiencies, constrained financial capital accessibility, and insufficient institutional support mechanisms during post-establishment operational phases. Comparative performance indicators relative to neighboring economies further demonstrate Algeria's deteriorating position within regional business establishment indices, thereby reinforcing the empirical hypothesis of an entrepreneurship-inhibitive operational environment.

This multifaceted phenomenon reflects not merely inadequate institutional performance capabilities but also substantive policy framework gaps targeting entrepreneurial development initiatives. Furthermore, it signifies the

absence of a coherent and systematically integrated ecosystem designed to provide comprehensive support for startup ventures throughout their complete developmental lifecycle. Addressing these systemic challenges necessitates the implementation of a holistic strategic approach that synthesizes comprehensive institutional reform initiatives, entrepreneurial capacity-building programs, and strategic alignment between higher education institutional outputs and labor market demand requirements.).

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